

FluxLock Tokenomics (FLUX)

Economic Design for Observer-Locked Proof of Continuity

1. Purpose of the Token

The FLUX token is a coordination and security asset. It incentivizes validator participation, entropy contribution, and honest witnessing of state transitions. It is not designed as a speculative store of value but as a mechanism to enforce continuity and synchronization.

2. Supply Model

FluxLock employs a capped, slowly decaying issuance model. Initial issuance rewards early validators and entropy providers. Over time, issuance declines and network fees become the primary incentive.

3. Validator Incentives

Validators stake FLUX temporarily during an epoch. Successful witnessing, entropy contribution, and uptime are rewarded. Slashing occurs for equivocation, late signatures, or protocol violations.

4. Transaction Fees

Transaction fees are paid in FLUX and are proportional to state transition complexity rather than data size. Fees are distributed to witnesses involved in finalization.

5. Anti-Hoarding Mechanisms

To discourage rent-seeking, large inactive balances decay slowly over time unless periodically used for staking, witnessing, or entropy contribution.

6. Governance

Protocol upgrades are governed by stake-weighted, time-delayed voting with mandatory observation periods to prevent rushed or malicious changes.

7. Economic Security

Economic attacks require sustained synchronization with the network and exposure to slashing risk. Short-term capital alone is insufficient to compromise FluxLock.